

Rpt Date 19/Oct/2006			Well Name/No Bilabri D3			Section Name/No 12 1/4" hole #3			Mud System SYN-TEQ (PARA)									
Job# 1		Spud Date 04/Oct/2006			MD 1031.00 m			Progress 187.00 m			Present Activity Drilling Formation							
Operator Peak Petroleum Indust. Limited				Company Rep James Blackmon/Peter Vermeulen				Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Terry Nanidis							
Field/Lease Bilabri			Blk/Co/Parish OML - 122 / Nigeria				Area Offshore		Country/State Nigeria			Rig BULFORD DOLPHIN						
Drilling Assembly						Casing			Volumes	Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min	
12 1/4		HCC		PDC			19 1/2	166.20	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	30	150	
Drill Collars			Drill Pipe			20	18 3/4	199.58	605.3	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	40	201	
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	829.50	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	50	251	
8	3 1/4	6.57	5	4.276	791.47		12 1/4	1031.00	446									
8	2 5/8	9.35	5	3	158.56				Tot Active									
8	2 3/4	27.29							1051.3	Circulation Times								
8	2 13/16	9.05							In Storage	Surface to Bit		min/stks			Total System		52.8 min/stks	
									981	Bottoms Up		29.2 min/stks						
Mud Properties						Max Ann Velocity			Hole Information									
Property		1	2	3	4	AV Riser		ft/min	Standpipe Pressure		2760 psi		Water Depth				145.00 m	
Sample From		Reserve	Flow Line	Active Pit	Flow Line	AV Casing		ft/min	Hole Flow		793 USgal/min		Riser Booster Rate				USgal/min	
Check Time		07:45	09:00	18:15	23:00	AV Open Hole		ft/min	Solids Analysis									
MD m		861.00	861.00	922.92	1028.00	Vc Open Hole		ft/min	Property		1	2	3	4				
TVD m		861.00	861.00	922.92	1028.00	Vc Drill Pipe		ft/min	LGS lb/bbl		5.85	5.07	5.89	5.87				
Bit Depth m		838.00	838.00	922.92	1028.00	Min Ann Velocity			LGS lb/bbl		53.30	46.18	53.68	53.47				
Density ppg		10.10	10.10	10.10	10.10	AV Riser		ft/min	HGS %		6.22	6.42	5.91	5.89				
Funnel Visc. sec/quart		65.0	77.0	69.0	71.0	AV Casing		ft/min	HGS lb/bbl		91.50	94.57	87.03	86.68				
Flow Line Temp degF			132.0	138.0	138.0	AV Open Hole		ft/min	Avg Dens Sol sg		3.4244	3.4944	3.4015	3.4014				
Test Temp degF		85.0	110.0	100.0	110.0	Bit Information												
Rheol Temp degF		120.0	120.0	120.0	120.0	Size		12 1/4 in										
PV cP		24	29	33	29	Hours On Bit												
YP lbf/100ft^2		17	27	31	30	Bit Number												
10sec Gel lbf/100ft^2		10	14	18	18	BHA Number			4	Rheology								
10min Gel lbf/100ft^2		18	23	33	35	Depth In			m	600 RPM		65	85	97	88			
HTHP Filtrate cc		4.0	3.4	3.0	3.2	Bit RPM				300 RPM		41	56	64	59			
HTHP Cake in/32		2.0	2.0	2.0	2.0	WOB			klbf	200 RPM		32	45	50	48			
HTHP Temp degF		250.0	250.0															

ADVANTAGE Daily Drilling Fluids Report - 19



INTEQ

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Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis			
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	2.0		6.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	14.0	2 x 210	4.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 140	5.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	5.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 175	5.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					25	0	

Volumes									
Additions bbl			Losses bbl			Total Volumes bbl			
Mud Added	Weight Materials	6	Downhole	22	Left In Pit	Starting Volume	2049.2	Riser w/o Pipe	201.4
Brine	Water		Cased Off		Trip Losses	Daily Additions	80	Casing w/o Pipe	346.8
Base Fluid	Product	19	Left In Hole		Injected	Daily Losses	97	Open Hole w/o Pipe	96.4
Recycled	Other		Discharged		Spill To Environment	Ending Volume	2032.2	String Displacement	39.4
			SCE	25	Onshore Disposal	Net Change	-17.0	String Capacity	52.8
			Evaporation	8	Returned			Total Hole w/ Pipe	605.3
			Other Losses	40				Total Active	1051.3
								Total Reserve	981.0

IADC Hours							
Tripping	5.5	Drilling Formation	6	Circulate	2	Miscellaneous	10.5

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	31366.12	Daily Product Cost	0.00	Primary Product	247508.15
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	24581.25
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	32266.12	Total Daily Cost	0.00	Primary Total	272089.40
Total Inventory Value	321694.00	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	385886 lb

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Oil Based Product											
CALCIUM CHLORIDE (97%)	25 kg	200					80	120	7.10		
CARBO-GEL	50 lb	130					15	115	1.58	1.51	
MIL-LIME	25 kg	160					40	120	1.92		
OMNI-COTE	55 USgal	4						4			
OMNI-MUL	55 USgal	16					2	14	2.00		
OMNI-PLEX	55 USgal	12						12	1.26		
OMNI-TEC	55 USgal	12					5	7	1.96		
PARA-TEQ	1 bbl	614					55	559			
Water Based Product											
BLACK MAGIC SF T	25 kg	80						80			
CAUSTIC SODA	25 kg	32						32			
MIL-BAR	1000 kg	75					4	71	4.24	9.20	
SAW DUST	25 kg	29						29			
Xanthan Gum	25 kg	47						47			
LCM											
CALCIUM CARBONATE - FINE	25 kg	160						160			
CALCIUM CARBONATE - MED	25 kg	160						160			
KWIKSEAL - MEDIUM	25 kg	35						35			
MIL-PLUG FINE	25 kg	84						84			
MIL-SEAL MEDIUM	25 kg	60						60			
SOLUFLAKE F	50 lb	80						80			
SOLUFLAKE M	50 lb	80						80			

BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 2	
Waboso Peter / Olayinka 'Kunle		234-803-402-0440		Onne		234-84-462609		Lawson Ogaree		32266.12 USD		272089.40 USD		321694.00 USD			

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.